

Nestle India Ltd

Investment Rating : Excellent

Company Overview

Website	https://www.nestle.in/
Sector	nan
Market Cap	1,677,775.19 Cr
PE Ratio	54.96
PB Ratio	14.34
Dividend Yield	3.85 %

Financial Quality

ROE	135.61
ROCE	185.43
CFO Quality	High Quality
FCF CAGR	7.29%
Capital Pattern	Excellent

Capital Allocation

Capital Score	100.0
Reinvestment	Balanced
Debt Trend	Increasing Debt
Leverage	Low

Business Overview

Nestle India Limited is the Indian subsidiary of Nestle which is a Swiss multinational company. The company is headquartered in Gurgaon, Haryana. The company's products include food, beverages, chocolate, and confectioneries.

Strengths

Consistently high return on equity above 20% demonstrates exceptional capital efficiency.
Strong free cash flow generation over 5 years signals healthy business fundamentals.
Very high interest coverage ratio reflects negligible financial stress from debt servicing.
Consistent dividend yield above 2% backed by positive free cash flow.
Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding.

Risks

Rising debt over the past 3 years suggests increasing financial leverage risk.